

**Pacific Public Media
(KNKX)**

Financial Statements
Years Ended May 31, 2020 and 2019

Pacific Public Media
(KNKX)

Financial Statements
Years Ended May 31, 2020 and 2019

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Tel: 206-382-7777
Fax: 206-382-7700
www.bdo.com

Two Union Square, 601 Union Street
Suite 2300
Seattle, WA 98101

Independent Auditor's Report

To the Board of Directors
Pacific Public Media
Seattle, Washington

We have audited the accompanying financial statements of Pacific Public Media ("KNKX"), which comprise the statement of financial position as of May 31, 2020, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.



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Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of KNKX as of May 31, 2020, and the changes in its net assets and its cash flows for the year then ended, in accordance with accounting principles generally accepted in the United States of America.

Other Matter - Prior-Period Financial Statements

The financial statements of KNKX as of and for the year ended May 31, 2019, were audited by Peterson Sullivan LLP ("PS"), whose partners and professional staff joined BDO USA, LLP as of November 1, 2019, and has subsequently ceased operations. PS expressed an unmodified opinion on those statements in their report dated October 15, 2019.

BDO USA, LLP

November 24, 2020

Financial Statements

**Pacific Public Media
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Statements of Financial Position

<i>May 31,</i>	2020	2019
Assets		
Current Assets		
Cash	\$ 3,288,683	\$ 2,553,639
Underwriting receivables	268,413	305,606
Contributions receivable, net	1,428,143	1,071,506
Tenant improvement receivable	-	104,844
Prepaid expenses	118,791	133,176
Total Current Assets	5,104,030	4,168,771
Construction in progress - Tacoma Station	-	2,031,494
Contributions receivable - Tacoma Station, net	28,965	475,784
Software and equipment, net	3,548,056	136,104
Contributed use of facilities receivable	-	5,839
Identifiable intangible assets, net	7,935,000	7,936,795
Total Assets	\$ 16,616,051	\$ 14,754,787
Liabilities and Net Assets		
Current Liabilities		
Accounts payable and accrued expenses	\$ 120,968	\$ 160,836
Salaries and benefits payable	134,703	127,805
Other debt	85,355	-
Deferred underwriting	32,306	17,365
Total Current Liabilities	373,332	306,006
Long-term debt	687,500	-
Deferred underwriting - PLU	613,660	718,490
Lease incentive liability	204,445	209,688
Total Liabilities	1,878,937	1,234,184
Net Assets		
Without donor restrictions	13,509,967	10,640,070
With donor restrictions	1,227,147	2,880,533
Total Net Assets	14,737,114	13,520,603
Total Liabilities and Net Assets	\$ 16,616,051	\$ 14,754,787

See accompanying notes to financial statements.

**Pacific Public Media
(KNKX)**

Statements of Activities

<i>Year Ended May 31,</i>	2020			2019		
	Without Donor Restrictions	With Donor Restrictions	Total	Without Donor Restrictions	With Donor Restrictions	Total
Revenue and Support						
Listener support	\$ 4,314,846	\$ 1,175,487	\$ 5,490,333	\$ 4,667,194	\$ 1,095,098	\$ 5,762,292
Grants	23,000	-	23,000	27,500	100,000	127,500
Community service grant from Corporation for Public Broadcasting	561,559	-	561,559	210,040	-	210,040
Underwriting	1,815,202	-	1,815,202	2,203,401	-	2,203,401
In-kind contributions	11,552	-	11,552	39,417	-	39,417
Other income	68,257	-	68,257	83,454	-	83,454
Net assets released from restrictions	1,163,293	(1,163,293)	-	1,059,778	(1,059,778)	-
Total Revenue and Support	7,957,709	12,194	7,969,903	8,290,784	135,320	8,426,104
Expenses						
Program services						
Programming and production	3,485,335	-	3,485,335	3,347,616	-	3,347,616
Broadcasting and engineering	1,311,288	-	1,311,288	1,166,226	-	1,166,226
Program information and promotion	125,347	-	125,347	164,839	-	164,839
Total program services	4,921,970	-	4,921,970	4,678,681	-	4,678,681
Supporting services						
General and administrative	674,520	-	674,520	644,542	-	644,542
Fundraising and membership development	1,786,401	-	1,786,401	1,790,338	-	1,790,338
Total supporting services	2,460,921	-	2,460,921	2,434,880	-	2,434,880
Total Expenses	7,382,891	-	7,382,891	7,113,561	-	7,113,561
Change in Net Assets before Tacoma Station Campaign	574,818	12,194	587,012	1,177,223	135,320	1,312,543
Tacoma Station Capital Campaign contributions	-	1,747,321	1,747,321	-	1,665,580	1,665,580
Tacoma Station Capital Campaign expenses	(1,117,822)	-	(1,117,822)	(724,440)	-	(724,440)
Net assets released from restrictions	3,412,901	(3,412,901)	-	-	-	-
Change in Net Assets	2,869,897	(1,653,386)	1,216,511	452,783	1,800,900	2,253,683
Net Assets, beginning of year	10,640,070	2,880,533	13,520,603	10,187,287	1,079,633	11,266,920
Net Assets, end of year	\$ 13,509,967	\$ 1,227,147	\$ 14,737,114	\$ 10,640,070	\$ 2,880,533	\$ 13,520,603

See accompanying notes to financial statements.

**Pacific Public Media
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Statement of Functional Expenses

Year Ended May 31, 2020

	Program Services				Supporting Services			Tacoma Station	Total
	Programming and Production	Broadcasting and Engineering	Program Information and Promotion	Total Program Services	General and Administrative	Fundraising and Membership Development	Total Supporting Services		
Salaries, payroll taxes, and benefits	\$ 2,030,937	\$ 322,348	\$ -	\$ 2,353,285	\$ 369,848	\$ 620,565	\$ 990,413	\$ 535,578	\$ 3,879,276
Professional and contract fees	1,284,414	81,313	56,301	1,422,028	109,713	836,660	946,373	268,179	2,636,580
Occupancy and tower leases	-	560,214	-	560,214	-	-	-	-	560,214
Depreciation	24,267	7,167	-	31,434	3,143	2,986	6,129	159,495	197,058
Online digital services	-	137,857	-	137,857	-	-	-	-	137,857
Bank service charges	-	-	-	-	-	133,909	133,909	-	133,909
Supplies	410	21,745	4,311	26,466	16,207	66,810	83,017	3,809	113,292
Equipment, repair, and maintenance	-	9,768	-	9,768	-	-	-	96,540	106,308
Postage, printing, and shipping	-	4,779	7,260	12,039	2,789	78,948	81,737	5,324	99,100
Software and technology	24,107	24,165	-	48,272	30,776	890	31,666	8,637	88,575
Telephone and internet services	5,472	68,638	-	74,110	138	-	138	2,326	76,574
Office expense	5,802	18,013	2,201	26,016	9,284	15,574	24,858	21,818	72,692
Advertising	-	-	53,737	53,737	-	-	-	15,227	68,964
Dues and subscriptions	18,396	40	-	18,436	35,782	11,900	47,682	-	66,118
Travel	27,493	14,031	640	42,164	12,875	7,533	20,408	-	62,572
All Things Considered Project	62,356	-	-	62,356	-	-	-	-	62,356
Utilities - power and gas	-	41,210	-	41,210	-	-	-	-	41,210
Bad debt	-	-	-	-	32,020	-	32,020	-	32,020
Insurance	-	-	-	-	30,872	-	30,872	-	30,872
Legal services	-	-	-	-	19,278	-	19,278	-	19,278
Events and marketing	1,681	-	897	2,578	-	9,074	9,074	-	11,652
Amortization	-	-	-	-	1,795	-	1,795	-	1,795
In-kind support	-	-	-	-	-	1,552	1,552	-	1,552
Miscellaneous	-	-	-	-	-	-	-	889	889
Total Expenses	3,485,335	1,311,288	125,347	4,921,970	674,520	1,786,401	2,460,921	1,117,822	8,500,713
Less: Tacoma station expenses	-	-	-	-	-	-	-	(1,117,822)	(1,117,822)
Total Expenses Included in the Statements of Activities	\$ 3,485,335	\$ 1,311,288	\$ 125,347	\$ 4,921,970	\$ 674,520	\$ 1,786,401	\$ 2,460,921	\$ -	\$ 7,382,891

See accompanying notes to financial statements.

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Statement of Functional Expenses

Year Ended May 31, 2019

	Program Services				Supporting Services			Tacoma Station	Total
	Programming and Production	Broadcasting and Engineering	Program Information and Promotion	Total Program Services	General and Administrative	Fundraising and Membership Development	Total Supporting Services		
Salaries, payroll taxes, and benefits	\$ 1,888,849	\$ 341,864	\$ -	\$ 2,230,713	\$ 367,920	\$ 518,559	\$ 886,479	\$ 437,949	\$ 3,555,141
Professional and contract fees	1,314,350	36,665	18,625	1,369,640	134,994	965,230	1,100,224	186,387	2,656,251
Occupancy and tower leases	-	499,279	-	499,279	-	3,203	3,203	-	502,482
Depreciation	15,971	1,259	-	17,230	1,888	1,784	3,672	-	20,902
Bank service charges	-	-	-	-	-	86,856	86,856	-	86,856
Supplies	1,493	8,467	2,904	12,864	10,206	8,211	18,417	1,901	33,182
Equipment, repairs, and maintenance	-	34,121	-	34,121	-	-	-	51,782	85,903
Postage and shipping	940	630	3,529	5,099	1,457	97,704	99,161	11,199	115,459
Information technology	7,830	182,502	21,760	212,092	-	195	195	3,063	215,350
Office expense	1,115	3,799	-	4,914	2,016	114	2,130	-	7,044
Advertising	857	-	6,040	6,897	4,527	750	5,277	900	13,074
Dues and subscriptions	21,953	2,132	-	24,085	340	13,616	13,956	-	38,041
Travel	24,601	13,322	2,532	40,455	8,320	49,970	58,290	201	98,946
All Things Considered Project	67,312	-	-	67,312	-	-	-	-	67,312
Bad debt	-	-	-	-	35,427	-	35,427	-	35,427
Insurance	-	-	-	-	24,972	-	24,972	-	24,972
Legal services	-	-	-	-	13,410	-	13,410	-	13,410
Events and marketing	2,345	-	109,449	111,794	6,249	15,441	21,690	14,163	147,647
Amortization	-	-	-	-	21,672	-	21,672	-	21,672
Miscellaneous	-	-	-	-	-	28,642	28,642	-	28,642
License, fees, and permits	-	42,186	-	42,186	325	63	388	16,895	59,469
Conferences	-	-	-	-	10,819	-	10,819	-	10,819
Total Expenses	3,347,616	1,166,226	164,839	4,678,681	644,542	1,790,338	2,434,880	724,440	7,838,001
Less: Tacoma station expenses	-	-	-	-	-	-	-	(724,440)	(724,440)
Total Expenses Included in the Statements of Activities	\$ 3,347,616	\$ 1,166,226	\$ 164,839	\$ 4,678,681	\$ 644,542	\$ 1,790,338	\$ 2,434,880	\$ -	\$ 7,113,561

See accompanying notes to financial statements.

**Pacific Public Media
(KNKX)**

Statements of Cash Flows

<i>Year Ended May 31,</i>	2020	2019
Cash Flows from (for) Operating Activities		
Change in net assets	\$ 1,216,511	\$ 2,253,683
Adjustments to reconcile change in net assets to net cash flows from (for) operating activities:		
Contributions for Tacoma station capital campaign	(1,747,321)	(1,665,580)
Depreciation	197,058	20,902
Amortization	1,795	21,672
Changes in operating assets and liabilities		
Underwriting receivables	37,193	59,450
Contributions receivable, net	(356,637)	(149,036)
Tenant improvement receivable	104,844	(104,844)
Prepaid expenses	14,385	(41,383)
Contributed use of facilities receivable	5,839	69,996
Accounts payable and accrued expenses	(39,868)	(12,938)
Salaries and benefits payable	6,898	(46,826)
Deferred underwriting	(89,889)	(92,555)
Net Cash Flows from (for) Operating Activities	(649,192)	312,541
Cash Flows for Investing Activity		
Tacoma station capital campaign plus other acquisitions	(1,582,759)	(1,821,806)
Cash Flows from Financing Activities		
Cash collected for Tacoma station	2,194,140	1,189,796
Cash received from long-term debt (PPP loan)	687,500	-
Cash received from other debt	85,355	-
Net Cash Flows from Financing Activities	2,966,995	1,189,796
Net Change in Cash	735,044	(319,469)
Cash, beginning of year	2,553,639	2,873,108
Cash, end of year	\$ 3,288,683	\$ 2,553,639

See accompanying notes to financial statements.

Pacific Public Media (KNKX)

Notes to Financial Statements

1. Organization and Significant Accounting Policies

Organization

Pacific Public Media, incorporated January 13, 2016, and operating under KNKX 88.5 FM (“KNKX”), is a nonprofit corporation providing public radio programming and services to the Puget Sound region. KNKX broadcasts from its Seattle and Tacoma stations.

KNKX prides itself as being the region’s best leading source of jazz, blues, and in-depth local and national news, available 24 hours a day online, through a cell phone application, or on the radio. KNKX also provides a full-time streaming jazz service, Jazz24. Broadcasting around the world, Jazz24 reaches a worldwide audience and further spreads the American music genre of jazz to new and old listeners alike.

Financial Statement Presentation

KNKX reports information regarding its financial position and activities according to two classes of net assets: without donor restrictions and with donor restrictions. Contributions restricted by time or program are reported as net assets with donor restrictions and are then reclassified to net assets without donor restrictions when the restrictions are met.

Board-Designated Net Assets

KNKX has an operating reserve of \$1,693,439 and \$693,439 that is designated by the board and included within net assets without donor restrictions at May 31, 2020 and 2019, respectively.

Net Assets with Donor Restrictions

Net assets with donor restrictions consist of the following at May 31:

	2020	2019
Time-restricted listener support	\$ 1,175,487	\$ 1,095,098
All Things Considered broadcasting	51,660	114,016
Construction of Tacoma station	-	1,665,580
Contributed use of facilities	-	5,839
	\$ 1,227,147	\$ 2,880,533

Contributed use of facilities represents unamortized use of facilities receivable to be recognized as rent expense in future years (see Note 3). Time-restricted listener support represents contributions scheduled by the listener to be received in the following year. KNKX has elected to report net assets with donor restrictions whose restrictions are met in the same period they are received as being without donor restrictions.

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Notes to Financial Statements

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Actual results could differ from the estimated amounts.

Cash

Cash consists of cash held in banks. At times during the year, KNKX has cash in banks in excess of the FDIC insurance limits. To mitigate this risk, management believes it has selected financially sound banks to hold its funds.

Receivables

Almost all underwriting fees come from companies located in the Pacific Northwest. These receivables are stated at their outstanding principal balances.

Unconditional promises to give (contributions receivable) that are expected to be collected in one year are recorded at net realizable value. Contributions receivable over periods in excess of one year are initially recorded at fair value including assumptions about expected year of collection, estimated allowance, and donor-specific discount rates.

Management reviews underwriting and contributions receivable on a regular basis and establishes an allowance for accounts that may not be collectible. Any amounts written off are charged against the allowance. Management determined an allowance for uncollectible underwriting receivable was not necessary at May 31, 2020 or 2019. Management has recognized an allowance for uncollectible contributions receivable of \$28,965 and \$151,288 at May 31, 2020 and 2019, respectively.

Software and Equipment

KNKX capitalizes expenditures for software and equipment at cost or, if donated, at the estimated fair value at the time of receipt. KNKX capitalizes software and equipment purchases with a cost or donated value of greater than \$10,000 and a useful life in excess of one year. Depreciation and amortization is computed using the straight-line method over the estimated useful life for all software and equipment. As of May 31, 2020, all construction in progress related to the new Tacoma station was placed in service. At May 31, 2020 and 2019, accumulated depreciation was \$217,959 and \$20,902 respectively.

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Notes to Financial Statements

Identifiable Intangible Assets

Identifiable intangible assets are stated at cost and consist of the following at May 31:

	2020	2019
Jazz24 trademark	\$ 65,000	\$ 65,000
Accumulated amortization	(65,000)	(63,205)
	-	1,795
FCC licenses	7,935,000	7,935,000
	\$ 7,935,000	\$ 7,936,795

The Jazz24 trademark and FCC licenses were acquired in 2016 from Pacific Lutheran University (“PLU”). The Jazz24 trademark has an estimated useful life of three years and is amortized on a straight-line basis over the life of the asset. As of May 31, 2020, the trademark was fully amortized. The FCC licenses have an indefinite life and, therefore, are not amortized. Intangible assets are reviewed at least annually for potential impairment.

Long-term Debt

In April 2020, KNKX received a loan through the SBA Paycheck Protection Program (“PPP Loan”) in the amount of \$687,500. The loan bears interest at 1% per annum and is due in May 2022.

The PPP Loan is forgivable in certain situations to promote continued employment and to provide liquidity to small businesses harmed by COVID-19. The application for these funds required KNKX to, in good faith, certify that the current economic uncertainty made the loan request necessary to support the ongoing operations of the organization. This certification further required KNKX to take into account its current business activity and its ability to access other sources of liquidity sufficient to support ongoing operations in a manner that is not significantly detrimental to its operations. Based on preliminary estimates, KNKX believes it will be able to use all of the PPP Loan funds for forgivable purposes based on the current allowable rules.

Revenue

Listener support represents unconditional amounts given or pledged by individuals and are recognized in the period received. Subscription revenue consists of automatically renewing pledges and are included within listener support. Subscriptions are recognized for a 12-month period as of the renewal date of the initial commitment, as subscriptions may be canceled at any time by the donor. During the years ended May 31, 2020 and 2019, KNKX received \$65,986 and \$339,659 in contributions from related parties, respectively.

Grant revenue from the Corporation for Public Broadcasting represents unrestricted funding to support general operations. All grant revenue is recognized as revenue when the grant is awarded unless there are conditions placed on the grant by the donor.

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Notes to Financial Statements

Underwriting fees are recognized when the related programming is aired. Underwriting fees received in advance are recognized as deferred underwriting.

In-Kind Contributions

Donated services and supplies are recognized at their estimated fair value in the financial statements. For the year ended May 31, 2019, \$39,417 in-kind advertising was received from one donor. There was no in-kind advertising for the year ended May 31, 2020. In addition, many individuals volunteer their time and perform a variety of tasks for KNKX, but these services do not meet the criteria for recognition in the financial statements as contributed services.

Functional Allocation of Expenses

The costs of providing the various programs and other activities have been summarized on a functional basis in the statements of activities and functional expenses. Accordingly, certain costs have been allocated among the programs and supporting services benefited. Occupancy, depreciation, and amortization expenses are allocated on a square-footage basis. Expenses such as salaries and wages, benefits, payroll taxes, professional services, office expenses, information technology, insurance, and other are allocated to their functional areas based on estimated time and effort.

Income Taxes

KNKX is exempt from federal income taxes under Section 501(c)(3) of the Internal Revenue Code.

Recent Accounting Pronouncement Adopted

In May 2014, the FASB issued Accounting Standards Update (“ASU”) 2014-09, Revenue from Contracts with Customers (“Topic 606”). The pronouncement was issued to clarify the principles for recognizing revenue, and the core principle of the guidance is that an entity shall recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. The following five steps are applied to achieve that core principle:

- Step 1: Identify the contract with the customer
- Step 2: Identify the performance obligations in the contract
- Step 3: Determine the transaction price
- Step 4: Allocate the transaction price to the performance obligations in the contract
- Step 5: Recognize revenue when the organization satisfies a performance obligation

In May 2020, the FASB voted to approve the proposed deferral of the effective date for Topic 606 for one year for all privately held and most non-profit entities that have not yet issued financial statements at the date the final ASU is issued which was June 3, 2020. As such, KNKX is electing to defer implementation of Topic 606 until the year ending May 31, 2021.

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Notes to Financial Statements

Subsequent Events

KNKX has evaluated subsequent events through the date these financial statements were available to be issued, which was November 24, 2020.

2. Liquidity and Availability of Resources

KNKX strives to maintain liquid financial assets sufficient to cover 90 days of general expenditures. The general expenditures include costs to run programs, fundraise, perform underwriting services, and other contractual obligations. Financial assets in excess of daily cash requirements can be invested in certificates of deposit, money market funds, and other short-term investments (beginning in 2021).

KNKX manages its cash available to meet general expenditures following three guiding principles:

- Operating within a prudent range of financial soundness and stability,
- Maintaining adequate liquid assets, and
- Maintaining sufficient reserves to provide reasonable assurance that long-term mission fulfillment will continue to be met, ensuring the sustainability of the organization.

The following table reflects KNKX financial assets as of May 31, 2020 and 2019, reduced by amounts that are not available to meet general expenditures within one year of the statement of financial position date because of contractual restrictions, donor restrictions, or internal board designations. KNKX has board-designated funds held for an operating reserve. In the event that the need arises to utilize board-designated funds for liquidity purposes, these reserves could be drawn upon through board resolution.

	2020	2019
Financial Assets at Year-end		
Cash and cash equivalents	\$ 3,288,683	\$ 2,553,639
Underwriting receivables	268,413	305,606
Contributions receivable, net	1,428,143	1,071,506
Contributions receivable - Tacoma station, net	28,965	475,784
Total Financial Assets	5,014,204	4,406,535
Board-designated reserve	(1,693,493)	(693,493)
Donor-restricted for time or purpose	(1,227,147)	(2,880,533)
Total financial assets available to meet cash needs for general expenditures within one year	\$ 2,093,564	\$ 832,509

3. Contributed Use of Facilities

KNKX leased office space from PLU under an operating agreement that expired in June 2019. Upon execution of the lease, KNKX recognized an in-kind contribution of use of facilities for the fair value of leased premises for the noncancelable lease period totaling \$204,167. A discount was

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Notes to Financial Statements

not recognized on the long-term pledge as the amount was not material. The contributed use of facilities receivable is amortized on a straight-line basis over the lease term to rent expense (included in occupancy on the statements of functional expenses). Rent expense under this lease was \$5,839 and \$69,996 during the years ended May 31, 2020 and 2019, respectively. There was no unamortized balance of the contributed use of facilities receivable at May 31, 2020.

In September 2018, KNKX entered into a new lease agreement for office and broadcasting space in Tacoma, Washington, which replaced the leased space at PLU when the lease expired in June 2019. The new lease is effective July 2019, with a 10-year term including four five-year options to extend (for a total available lease period of 30 years). The landlord has agreed to cover tenant improvements up to \$209,688. Therefore, KNKX recorded a lease incentive liability related to these leasehold improvements, which will be amortized over the term of the lease as a reduction to rent expense. See Note 5 for future minimum rent payments.

4. Deferred Underwriting - PLU

Under terms of the Asset Purchase Agreement (the "Agreement") with PLU in 2016 (see Note 1), KNKX paid \$7 million in cash and was obligated to provide \$1 million of underwriting services to PLU. Under the Agreement, up to \$100,000 of underwriting is to be provided per year for 10 years, with an allowed unused carryover amount of \$10,000 per year. Underwriting in excess of \$100,000 per year will reduce the following year's allocation. Underwriting performed under the Agreement during the years ended May 31, 2020 and 2019, was \$104,830 and \$100,000, respectively. The remaining deferred obligation is \$613,660 and \$718,490 at May 31, 2020 and 2019, respectively.

5. Operating Leases

KNKX leases its Seattle office and broadcasting station under a noncancelable lease that expires in December 2021. Lease payments are adjusted annually for changes in the Consumer Price Index. Lease expense under this lease during the years ended May 31, 2020 and 2019, was \$176,804 and \$170,471, respectively. In addition, lease expense related to the new Tacoma station lease described in Note 3 was \$150,271 in 2020. Future minimum lease payments under these leases (assuming no Consumer Price Index adjustment) are as follows for the years ending May 31:

2022	\$	351,201
2023		285,180
2024		191,178
2025		195,582
2026		185,097
Thereafter		804,894
	\$	2,013,133

KNKX leases equipment and facilities for the purpose of transmitting at 11 separate locations (in addition to its Seattle and Tacoma stations). Terms range from month-to-month to an expiration in December 2030, and generally require monthly or annual payments with fixed annual increases. Lease expense under these leases during the years ended May 31, 2020 and 2019, was \$222,964 and \$215,167, respectively.

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Notes to Financial Statements

Future minimum lease payments under these leases are as follows for the years ending May 31:

2022	\$	197,651
2023		202,666
2024		210,287
2025		217,858
2026		217,583
Thereafter		923,252
	\$	1,969,296

6. Retirement Plan

KNKX has a defined contribution 401(k) pension plan (the “Plan”) covering employees who meet prescribed service requirements. Contributions are made in accordance with the provisions of the Plan, which require employer contributions of 3% of total compensation and, in addition, a match of employee contributions of up to 6% of compensation. During the years ended May 31, 2020 and 2019, KNKX contributed \$237,049 and \$203,493, respectively, to the Plan.

7. COVID-19 and The CARES Act

On January 30, 2020, the World Health Organization (“WHO”) announced a global health emergency because of a new strain of coronavirus originating in Wuhan, China (the “COVID-19 outbreak”) and the risks to the international community as the virus spreads globally beyond its point of origin. In March 2020, the WHO classified the COVID-19 outbreak as a pandemic, based on the rapid increase in exposure globally.

The full impact of the COVID-19 outbreak continues to evolve as of the date of this report. As such, it is uncertain as to the full magnitude that the pandemic will have on KNKX’s financial condition, liquidity, and future results of operations. Management is actively monitoring the global situation on its financial condition, liquidity, operations, suppliers, industry, and workforce. Given the daily evolution of the COVID-19 outbreak and the global responses to curb its spread, KNKX is not able to estimate the effects of the COVID-19 outbreak on its results of operations, financial condition, or liquidity for fiscal year 2021.

On March 27, 2020, President Trump signed into law the “Coronavirus Aid, Relief, and Economic Security (“CARES”) Act.” The CARES Act, among other things, includes provisions relating to refundable payroll tax credits, deferment of employer side social security payments, net operating loss carryback periods, alternative minimum tax credit refunds, modifications to the net interest deduction limitations, increased limitations on qualified charitable contributions, and technical corrections to tax depreciation methods for qualified improvement property. It also appropriated funds for the SBA Paycheck Protection Program loans that are forgivable in certain situations to promote continued employment, as well as Economic Injury Disaster Loans to provide liquidity to small businesses harmed by COVID-19. KNKX applied for a PPP loan for \$687,500 and received the funds in April 2020 (see Note 1).